EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley, called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2022, the Municipality of Tuao had a total of 484 personnel complement, consisting of 79 permanent, 11 elective, 10 co-terminus, 1 temporary, 44 casual, 4 contract of service and 335 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2022 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

	2022	2021	Increase (Decrease)
Financial Position			
Total Assets	831,144,634.69	726,465,150.41	104,679,484.28
Total Liabilities	92,729,291.49	95,633,036.24	(2,903,744.75)
Total Government Equity	738,415,343.20	630,832,114.17	107,583,229.03
Financial Performance			
Total Income	371,672,098.59	284,781,322.73	86,890,775.86
Total Expenses	265,556,704.56	179,335,606.32	86,221,098.24
Appropriations, Allotments and Obligations			
Total Appropriations – Current	392,786,347.00	296,658,684.77	96,127,662.23
Total Obligations – Current	264,975,075.63	169,142,570.11	95,832,505.52
Total Appropriations – Continuing	151,287,381.71	150,235,016.85	1,052,364.86
Total Obligations - Continuing	74,602,667.85	71,517,976.53	3,084,691.32

The table below presents the fund transfers received by the Municipality from other agencies totaling P87,762,255.50, with comparative figures for CY 2021. There were no funds transferred to other agencies during the year.

	2022	2021	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	87,602,255.50	65,705,454.39	21,896,801.11
Local Government Units	160,000.00	1,700,000.00	(1,540,000.00)
Others	-	25,000,000.00	(25,000,000.00)
Total	**87,762,255.50**	**92,405,454.39**	**(4,643,198.89)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Tuao for the year ended December 31, 2022 due to the following because these are materially misstated by an aggregate amount of P145,378,492.61 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Tuao disclosed misstatements totaling P145,378,492.61 in absolute value as follows:

Account	Asset	Liability	Revenue/ Expense	Total
Construction in Progress - Buildings & Other Structures	40,804,157.56			40,804,157.56
Construction in Progress - Infrastructure Assets	12,091,485.93			12,091,485.93
Road Networks	55,498,408.69			55,498,408.69
Flood Control Systems	14,316,074.20			14,316,074.20
Depreciation Expense - Infrastructure Assets			3,267,126.96	3,267,126.96
Grants and Donations in Kind			11,633,168.29	11,633,168.29
Trust Liability - DRRM		7,768,070.98		7,768,070.98
Total				**145,378,492.61**

As a result, the following accounts in the financial statements of the Municipality of Tuao were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Road Networks	55,498,408.69		1
Accumulated Depreciation - Road Networks	2,422,266.09		1
Flood Control Systems	14,316,074.20		1

Accumulated Depreciation - Flood Control System	844,860.87		1
Construction in Progress - Buildings & Other Structures	40,804,157.56		1
Construction in Progress - Infrastructure Assets	12,091,485.93		1
Drugs and Medicines Expenses	11,633,168.29		4
Donations in Kind	11,633,168.29		4
Trust Liability-DRRM	7,768,070.98		9

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **Inter-Agency Payables accounts totalling to P23,572,816.12 were not adequately disclosed in the Notes to Financial Statements as required under Section 111 of PD 1445 and generally accepted state accounting principles and practices, thus information contained in the Notes did not adequately provide relevant information in the Statements of Financial Position of the Municipality.**

   We recommended that the Management require the Municipal Accountant to disclose adequate information as to breakdown and relevant details in the the Notes to Financial Statements the balances of Inter-Agency Payables for a more comprehensive information on the financial condition of the LGU.

2. **Various COVID-19 vaccines consisting of 16,169 vials totaling P11,633,168.29, which were received from the Department of Health/Provincial Health Office in CY 2022, were not recognized in the books of the Municipality and the disposition thereof, thus resulting in the understatement of the Grants and Donations in Kind account presented in the financial statements.**

   We recommended that the Municipal Accountant prepare necessary adjusting entries to record the vaccines received and the related distribution to constituents in order to reflect the correct balance of the accounts presented in the financial statements.

   Henceforth, the Municipal Mayor require all departments and offices to coordinate with the Municipal Accounting Office for all donations received for proper recording and accounting thereof in compliance with Paragraphs 96 and 97 of the International Public Sector Accounting Standards (IPSAS) No. 23 and Revised Chart of Accounts.

3. **One hundred ninety-six (196) disbursement vouchers and its supporting documents totaling to P48,485,090.50 for CY 2022 transactions were not submitted for verification and audit, thus, the validity, propriety and completeness of the paid transactions could not be ascertained.**

   We required the Municipal Accountant cause the immediate submission of all unsubmitted paid DVs and the supporting documents to the Auditor for verification and audit as required in Section 100 of PD No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 6, 2009 to avoid the issuance of Notices of Suspension and/or Disallowance in audit on the subject transactions.

4. **Infrastructure projects funded from the collection of Burley and Native Tobacco Tax totaling to P48,545,243.62 were non-compliant with various applicable provisions of the 2016 Revised Implementing Rules and Regulations (IRR) of Republic Act (RA) No. 9184.**

   In view of the foregoing, we recommended that the Management:

   a. Submit the complete set of bidded procurements in the total amount of P48,545,243.62 to ensure that the instructions and conditions of the contracts and specifications of the projects and payments on all procurements are completely supported with the documentary requirements prescribed under COA Circular No. 2012-001, otherwise it shall be suspended in audit;

   b. Require the BAC to submit justification in their failure to conduct the pre-bid conference in the procurement of infrastructure projects goods with an approved budget of One Million (P1,000,000.00) or more, pursuant to Section 22.1 of IRR of R.A. No 9184; and

   c. Require the BAC to ensure that all prospective bidders submit the complete eligibility requirements before they are marked as "passed" and declared as LCB and strictly comply with the provisions of R.A. No. 9184 in the conduct of public bidding and awarding of contracts/ projects.

5. **Various goods procured through public bidding totalling to P17,813,000.00 were not supported with complete documentary requirements, thus, the validity and propriety of the transactions could not be ascertained.**

   We recommended that the Management submit immediately the lacking documents on the procurement of goods in the total amount of P17,813,000.00 to ensure that all payments made for the procurement of goods through public bidding are supported with the documentary requirements prescribed in COA

Circular No. 2012-001 and the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.

E. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance or Charge issued to the Municipality.

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

Implemented		11
Not Implemented	6	
Not Implemented and Reiterated in CY 2022 AAR	5	11
Total		**22**